

The Behavioural Dimension

Statement	Agree / Strongly agree
Prefer saving over non-essential spending	86.30%
Money gives a sense of security	87.30%
Feel stressed dealing with financial matters	51.20%
Believe they control their financial future	53.10%
Postpone important financial decisions	35.40%

SOURCE FMI BEHAVIOURAL MODULE, IIM UDAIPUR-PRICE STUDY, 2026.

76 |

paradox. Indians overwhelmingly associate money with safety, yet this preference often encourages households to remain in familiar, liquid savings instruments while delaying long-term retirement planning. The result is precisely the pattern observed throughout the FMI: low pension participation, limited insurance coverage and insufficient long-term financial preparedness.

STRESS, PROCRASTINATION, LIMITS OF INTENTION

If conservatism explains what households want, stress and procrastination explain why they often fall short. More than half (51.2%) of respondents report feeling stressed while dealing with financial matters, while 35.4% admit postponing important financial decisions. Financial stress narrows decision-making, encourages short-term coping and delays insurance purchases, retirement planning and emergency savings. Good intentions therefore do not automatically translate into sound financial behaviour.

A MODEST SENSE OF CONTROL

Underlying these behavioural patterns is a fragile sense of financial

agency. Only 53.1% of respondents believe they have control over their financial future. Confidence is considerably lower among rural and lower-income households, suggesting that financial capability depends not only on economic resources but also on the confidence to navigate an increasingly complex financial system. Those with the greatest need for long-term financial security often feel least capable of achieving it.

ACCESS TO CAPABILITY

These behavioural findings reinforce the central message of the FMI. India's next phase of financial development cannot rely on access alone. The challenge is to build financial capability.

Three priorities follow. First, policymakers should distinguish between households that save because they are financially disciplined and those that save because they feel economically vulnerable. Second, behavioural barriers such as stress, procrastination and complexity should be addressed through simpler financial products, automated savings, default pension enrolment and clearer disclosures. Third, strengthening consumer protection and financial capability can improve households' confidence in formal financial institutions and encourage greater adoption of long-

term savings products.

Financial literacy remains necessary, but it is unlikely to be sufficient on its own. The challenge is not simply helping people understand financial products; it is enabling them to convert knowledge into sustained financial action.

THE NEXT FRONTIER

The broader lesson is that India now needs a framework for measuring financial maturity with the same seriousness that it measures financial inclusion. Rather than remaining a one-time study, the Financial Maturity Index (FMI) could evolve into a recurring national framework.

India already measures inflation, employment, health and financial inclusion with considerable sophistication. What it lacks is a systematic way of assessing whether households are becoming financially capable and retirement-ready. Such a framework would help policymakers move beyond counting bank accounts and pension registrations towards understanding whether households are actually building long-term financial security.

The next frontier of India's financial development is therefore not inclusion—the country has largely built that infrastructure. The next frontier is financial maturity.

The Financial Maturity Index provides a practical way forward. Built on a multidimensional framework spanning ten dimensions of financial well-being, it generates a single Financial Maturity Score that measures not just financial access but financial capability. Scaling the FMI into a nationally representative framework would provide India's first benchmark of financial maturity, enabling better policy, sharper targeting and stronger household financial security. **BT**

Views are personal